May 2007.

In 2008, Sheikh Hasina won the election and became the new Prime Minister of Bangladesh. India extended its feelers to Bangladesh. Former External Affairs Minister Pranab Mukherjee visited Bangladesh and held comprehensive discussions regarding security matters, issues of common concern like cross-border terrorism, peaceful management of the indo-Bangladesh borders, demarcation of land boundaries and Indian maritime boundaries. Two agreements were signed on bilateral trade and bilateral investment promotion and protection. This was followed by visit by Foreign Minister of Bangladesh Dipu Moni to India from 7–10 September 2009. This visit was followed by discussions on bilateral issues and also the contentious issue over a proposed hydel dam in India's North-east. Both India and Bangladesh agreed to conclude three agreements pertaining to—mutual legal assistance on criminal matters; transfer of sentenced persons; and combat of international terrorism, organized crime and illegal drug trafficking.

During 10–13 January 2010, the Prime Minister of Bangladesh, Sheikh Hasina visited India. India extended a line of credit worth one billion dollars on the terms of Asian Development Bank for infrastructural upgradation of Bangladesh. India also agreed to construct the Akhaura-Agartala rail link, provide 250 megawatts of electricity per day from the Indian power grid and deferred plans to construct the 1500 MW Tipaimukh hydroelectric dam on the Barak in Manipur to which Bangladesh has reservations. It was also agreed that border markets would be set up along the Bangladesh-Meghalaya border and land customs posts on the Mizoram border. Forty-seven commodities were removed from the negative list, despite serious concern about the fall out. Bangladesh promised India's access to the Ashuganj inland port and also India, Nepal and Bhutan's access to deep-water ports at Mongla and Chittagong. Bangladesh also expressed willingness to revive old land-border rail transit points and also prevent its soil from being used against India. Bangladesh also agreed to negotiate an extradition treaty, formation of a joint boundary group to address the land border and a team from Bangladesh to discuss maritime boundary. Sheikh Hasina expressed her satisfaction from the visit.